

Large Non-Solvency II Firms ? Senior Management Functions

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

(1) a _large non-directive insurer_ ; and

(2) a _Swiss general insurer_.

1.2

In this Part, the following definitions shall apply:

Chair of the Governing Body function

has the meaning given in 4.1.

Chair of Audit Committee function

has the meaning given in 4.3.

Chair of Remuneration Committee function

has the meaning given in 4.4.

Chair of Risk Committee function

has the meaning given in 4.2.

Chief Actuary function

has the meaning given in 7.1.

Chief Executive function

has the meaning given in 3.1.

Chief Finance function

has the meaning given in 3.2.

Chief Operations function

has the meaning given in 3.7.

Chief Risk function

has the meaning given in 3.3.

Chief Underwriting Officer function

has the meaning given in 9.2.

Group Entity Senior Manager function

has the meaning given in 5.1.

group executive

has the meaning given in 10.4.

Head of Internal Audit function

has the meaning given in 3.4.

Head of Key Business Area function

has the meaning given in 3.5.

Head of Third Country Branch function

has the meaning given in 6.2.

Senior Independent Director function

has the meaning given in 4.5.

With-Profits Actuary function

has the meaning given in 8.2.

2

General

2.1

Each of the functions in 3 to 9 is a _controlled function_ and a _PRA senior management function_.

2.2

PRA senior management function holders must each be approved by the _PRA_ to perform the applicable _PRA senior management function_.

2.3

1. (1) A _firm_ (other than a _Swiss general insurer_) must ensure that one or more _persons_ performs each of the following _PRA senior management function_ on its behalf:

1. (a) the _Chief Executive function_ ;
2. (b) the _Chief Finance function_ ; and
3. (c) the _Chair of the Governing Body function_.

2. (2) If a vacancy arises in respect of one or more of the _PRA senior management functions_ set out in (1), a _firm_ must ensure that it appoints a _person_ to fill that vacancy as soon as practicable.

2.4

To the extent that:

1. (1) a _firm_ appoints a _person_ to perform a _key function_ which, but for this rule, would be a _PRA senior management function_;
2. (2) the appointment is solely to provide cover for a _PRA senior management function holder_ whose absence is:
 1. (a) temporary; or
 2. (b) reasonably unforeseen; and
3. (3) the appointment is for less than 12 weeks in a consecutive 12- _month_ period,

the description of the applicable _PRA senior management function_ does not relate to those activities of that _person_.

2.5

1. (1) If, in relation to a _firm_ , a _PRA senior management function holder_ also performs _FCA activities_ , performance of the _PRA senior management function_ will include the performance of those _FCA activities_ , provided the following conditions are met:
 1. (a) the _PRA's_ approval to perform that _PRA senior management function_ has been granted and continues in force;
 2. (b) at the time of approval being granted by the _PRA_ , that _person_ was not subject to an _FCA approval_ to perform the particular _FCA governing function_;
 3. (c) the _firm_ made an _FCA activities notification_ ; and
 4. (d) that _person_ performs and is continuing to perform the _FCA activities_.
2. (2) If, in relation to a _firm_ , _PRA senior management function holder_ has been performing _FCA activities_ in the circumstances set out in (1), and that _person_ :
 1. (a) ceases to perform the _PRA senior management function_ ;
 2. (b) within three _months_ of ceasing performance, is approved to perform a new _PRA senior management function_ at the _firm_ ; and
 3. (c) continues to perform the _FCA activities_ ,
 performance of the new _PRA senior management function_ will include the performance of those _FCA activities_ , provided the conditions in (1) (a) to (d) are met.

2.6

If a _PRA senior management function holder_ to whom 2.5 applies ceases to perform a _PRA senior management function_ but continues to perform the _FCA activities_ , 2.5(1) will continue to apply in respect of the performance of the _FCA activities_ until the earlier of:

1. (1) approval by the _FCA_ in respect of the performance by that person of those _FCA activities_ as an _FCA governing function_ in relation to the _firm_ ; or
2. (2) three _months_ from the time that the _person_ ceased to perform that _PRA senior management function_.

2.6A

If a _PRA approved person_ :

1. (1) (other than in the circumstances set out in 2.5 or 2.6) performs one or more _FCA responsibilities_ ;

2. (2) ceases to perform any _PRA senior management function_ ; and
3. (3) does not have an _FCA approval_ to perform an _FCA controlled function_ in relation to that _firm_ ,
4. the functions in (1) will continue to be part of the _PRA senior management function_ that the _person_ most recently performed for that _firm_ until the earlier of:
 1. (a) approval by the _FCA_ in respect of the performance by that _person_ of an _FCA controlled function_ in relation to the _firm_ ; or
 2. (b) three _months_ from the time that the _person_ ceased to perform that _PRA senior management function_.

2.7

If a _firm_ outsources its internal audit _function_ to an external third party service provider (that is, a service provider outside the _firm_ or the _firm's_ _group_), the _firm_ is not required to have any _person_(s) approved to perform the _Head of Internal Audit function_.

2.8

1. (1) A _firm_ must take all reasonable steps to ensure that before a _person_ begins to perform:
 1. (a) a _PRA senior management function_ ; or
 2. (b) new or revised responsibilities in performance of a _PRA senior management function_ ,
 that _person_ is provided with all of the information and materials that the _person_ may reasonably expect in order to perform that _PRA senior management function_ or those new or revised responsibilities effectively and in accordance with the _regulatory system_.
3. (2) A _firm_ must:
 1. (a) have a written policy to ensure compliance with (1), including in relation to the systems and controls it uses;
 2. (b) ensure the policy under (a) is complied with; and
 3. (c) maintain adequate records of the steps taken to comply with (1).

3

Executive

3.1

The _Chief Executive function_ (SMF1) is the function of having responsibility, under the immediate authority of the _governing body_ , alone or jointly with others, for carrying out the management of the conduct of the whole of the business (or relevant activities) of a _firm_.

3.2

The _Chief Finance function_ (SMF2) is the function of having responsibility for the management of the financial resources of a _firm_ and reporting to the _governing body_ of a _firm_ in relation to its financial affairs.

3.3

The _Chief Risk function_ (SMF4) is the function of having responsibility for overall management of the risk management system specified in Non-Solvency II Firms ? Governance 3.5 and 7.

3.4

The _Head of Internal Audit function_ (SMF5) is the function of having responsibility for the management of the internal audit _function_ specified in Non-Solvency II Firms ? Governance 9.

3.5

The Head of Key Business Area function (SMF6) is the function of having responsibility for management of a business area or division of a firm (other than a third country branch undertaking) where:

1. (1) the relevant business area or division of the firm accounts for more than 20% of the firm's gross revenue; and
2. (2) the person performing that function does not report to a person performing the Head of Key Business Area function in respect of that same business area or division of the firm; and
3. (3) either the gross total assets or the technical provisions of the relevant business area or division of the firm exceed £10 billion.

3.6

For the purposes of 3.5, the gross total assets and technical provisions of the business area or division of the firm and the percentage of the gross revenue of the firm shall be assessed on the basis of either:

1. (1) the assets, technical provisions and revenues for the business area or division and the firm for the firm's financial year immediately preceding that in which the person is allocated with the specified responsibilities; or
2. (2) if the threshold amount is not met for that period, on the basis of the annual average amount assessed across a rolling period of five years, assessed by reference to the firm's annual accounting date; and where the firm or the business area or division has been in existence for less than five years, the assessment will be made on the basis of the annual average amount for the period during which the firm or that business area or division has existed (calculated by reference to the firm's annual accounting date).

3.7

The Chief Operations function (SMF24) is the function of having responsibility for the internal operations and technology of a firm.

4

Oversight

4.1

The Chair of the Governing Body function (SMF9) is the function of having responsibility for chairing, and overseeing the performance of the governing body of a firm.

4.2

The Chair of Risk Committee function (SMF10) is the function of having responsibility for chairing, and overseeing the performance of any committee responsible for the oversight of the risk management system specified in Non-Solvency II Firms ? Governance 3.5 and 7.

4.3

The Chair of Audit Committee function (SMF11) is the function of having responsibility for chairing and overseeing the performance of any committee responsible for the oversight of the internal audit function specified in Non-Solvency II Firms ? Governance 9.

4.4

The Chair of Remuneration Committee function (SMF12) is the function of having responsibility for chairing and

overseeing the performance of any committee responsible for the oversight of the design or implementation of the remuneration policies and practices of a _firm_.

4.5

The _Senior Independent Director function_ (SMF14) is the function of performing the role of a senior independent _director_ , and having particular responsibility for leading the assessment of performance of the _person_ performing the _Chair of the Governing Body function_.

5

Group Entities

5.1

The _Group Entity Senior Manager function_ (SMF7) is the function of having a significant influence on the management or conduct of one or more aspects of the affairs of a _firm_ in relation to its _regulated activities_ (other than in the course of the performance of another _PRA senior management function_) and which is performed by a _person_ employed by, or an officer of:

1. (1) a _parent undertaking_ or holding company of a _firm_ ; or
2. (2) another _undertaking_ which is a member of the _firm's_ _group_.

6

Head of Third Country Branch

6.1

This Chapter applies only to a _Swiss general insurer_.

6.2

The _Head of Third Country Branch function_ (SMF19) is the function of having responsibility for the conduct of all activities of the _Swiss general insurer_ that are subject to the _regulatory system_.

6.3

1. (1) A _Swiss general insurer_ must have at least one _person_ approved to perform the _Head of Third Country Branch function_.
2. (2) If a vacancy arises in respect of the _Head of Third Country Branch function_ , a _Swiss general insurer_ must ensure that it appoints a _person_ to fill that vacancy as soon as possible.

6.4

A _Swiss general insurer_ is not required to have any _person_(s) approved to perform any of the other _PRA senior management functions_.

7

Chief Actuary

7.1

The _Chief Actuary function_ (SMF20) is the function of having responsibility for the actuarial _function_ specified in

Non-Solvency II Firms ? Governance 10.

8

With-Profits Actuary

8.1

This Chapter applies only to firms that carry on with-profits insurance business.

8.2

The With-Profits Actuary function (SMF20a) is the function of having responsibility for advising the governing body of a firm transacting with-profits insurance business on the exercise of discretion affecting part or all of that business, as described more fully in Non-Solvency II Firms ? Actuarial Requirements 6.1.

9

Chief Underwriting Officer

9.1

This Chapter applies only to firms that carry on general insurance business.

9.2

The Chief Underwriting Officer function (SMF23) is the function of having responsibility, in respect of the firm's general insurance business, for the underwriting decisions in respect of material insurance risks that are borne by the firm.

10

Combination of Senior Management Functions

10.1

This Chapter does not apply to a Swiss general insurer.

10.2

A large firm must ensure that a person who performs the Chair of the Governing Body function on its behalf does not perform the Chief Executive function within the same firm.

10.3

A large firm that is a member of a group must ensure that a group executive does not perform any of the following functions in respect of the firm :

1. (1) the Chair of the Governing Body function (SMF9);
2. (2) the Chair of Risk Committee function (SMF10);
3. (3) the Chair of Audit Committee function (SMF11);
4. (4) the Chair of Remuneration Committee function (SMF12); or
5. (5) the Senior Independent Director function (SMF14).

10.4

A group executive means, in relation to a large firm , a person who is an officer or employee of and performs an executive function at:

1. (1) a parent undertaking or holding company of the large firm ; or
2. (2) an undertaking which is a member of the same group as the large firm .